

Please write clearly in block capitals.

Centre
number

--	--	--	--	--	--

Candidate
number

--	--	--	--	--	--

Surname

Forename(s)

Candidate signature

A-level ECONOMICS

Paper 2 National and international economy

Predicted Paper Set A — Moderate

Macro data response and essays

Time allowed: 2 hours

Materials

- an AQA 12-page answer book
- a calculator.

Instructions

- Use black ink or black ball-point pen. Pencil should only be used for drawing.
- Write the information required on the front of your answer book. The Paper Reference is 7136/2.
- Answer ALL questions in both Section A and Section B.
- Diagrams should be drawn in pencil and fully labelled.

Information

- The marks for questions are shown in brackets.
- The maximum mark for this paper is 80.
- There are 40 marks for Section A and 40 marks for Section B.
- You will be marked on your ability to:
 - use good English
 - organise information clearly
 - use specialist vocabulary where appropriate.

Advice

- You are advised to spend 1 hour on Section A and 1 hour on Section B.

Predicted Paper — For revision purposes only [Set A — Moderate]

Section A

Answer ALL questions in this section.

Total for this section: 40 marks

Data Response: UK Monetary Tightening, 2021–2024

Study Extracts A, B and C and then answer all parts of Section A which follow.

Extract A: UK Monetary Tightening, 2021–2024

The Bank of England raised Bank Rate from 0.1% in December 2021 to 5.25% by August 2023 in response to surging inflation. CPI peaked at 11.1% in October 2022 before falling back to 4.0% by December 2023. GDP growth slowed sharply, the UK narrowly avoided a technical recession in late 2023, and real wages fell for the longest sustained period since records began. Unemployment remained low at 4.2%, suggesting a degree of labour-market resilience despite the tightening cycle.

Source: News reports, February 2024

Extract B: Key UK Macroeconomic Indicators

Indicator	2021	2022	2023	2024 (est.)
Real GDP growth (%)	7.6	4.3	0.1	0.6
CPI inflation (%)	2.6	9.1	7.3	3.2
Unemployment (%)	4.5	3.7	4.2	4.4
Bank Rate (%)	0.1	3.5	5.25	5.0

Source: Office for National Statistics / Bank of England, 2024

Extract C: Transmission Lags and Household Debt

The MPC has repeatedly noted that monetary policy operates with “long and variable lags.” UK household debt-to-income remains above 130%, meaning small changes in interest rates have a disproportionately large effect on disposable incomes. Approximately 1.6 million fixed-rate mortgages were due to refinance during 2024, creating a delayed cost-push shock to consumer spending.

Source: Bank of England / Resolution Foundation, 2024

- 0 1** Define the term 'real wages'.
[2 marks]
- 0 2** With the help of a fully labelled AD/AS diagram, explain the likely impact of higher interest rates on aggregate demand in the UK. Your answer must include both a labelled diagram AND a written explanation of the economic mechanism.
[4 marks]
- 0 3** With the help of a diagram and using the extracts, analyse the trade-off faced by the Bank of England between controlling inflation and maintaining economic growth.
[9 marks]
- 0 4** Using the extracts and your own knowledge, evaluate the effectiveness of monetary policy as a tool for managing the UK macroeconomy.
[25 marks]

Section B

Answer BOTH questions in this section.

Each essay carries a total of 40 marks.

Total for this section: 40 marks

The UK economy has persistently run a current account deficit on its balance of payments, and long-run economic growth depends on the productive capacity of the economy. Economists disagree about whether demand-side or supply-side policies are more effective in delivering sustainable, non-inflationary growth.

- | |
|---|
| 0 |
|---|

5

 Explain the main causes of a current account deficit on the UK's balance of payments.

[15 marks]

- | |
|---|
| 0 |
|---|

6

 "Supply-side policies are more effective than demand-side policies in achieving long-run economic growth." Evaluate this statement.

[25 marks]

END OF QUESTIONS